

**IN THE COURT OF APPEAL OF THE DEMOCRATIC SOCIALIST REPUBLIC OF**  
**SRI LANKA**

In the matter of an appeal by way of a Stated Case on questions of law for the opinion of the Court of Appeal under and in terms of Section 11A of the Tax Appeals Commission Act No. 23 of 2011 (as amended).

**CA Case No: TAX 12/2018**

**Tax Appeals Commission Case No.**

**TAC/IT/004/2014**

Siam City Cement (Lanka) Limited,  
(Previously known as Holcim (Lanka) Limited),  
No. 413, R.A. De Mel Mawatha,  
Colombo 03.

**Appellant**

**Vs.**

The Commissioner General of Inland Revenue,  
Department of Inland Revenue,  
Sir Chittampalam A. Gardiner Mawatha,  
Colombo 02.

**Respondent**

**Before:**

**M.C.B.S. Morais J.**

**&**

**Annalingam Premashanker J.**

**Counsel:** Dr. Shivaji Felix, PC with Nivantha Satharasinghe, Sajith Nawaratne and Asoka Obeysekere instructed by D.L. & F. De Saram for the Appellant.

Manohara Jayasinghe, DSG with Prabhashanee Jayasekara, SC for the Respondent.

**Written Submissions:** By the Appellant – on 08.05.2026, 11.05.2020, 07.01.2020, 24.06.2019

By the Respondent – on 19.08.2026, 28.02.2020, 24.06.2019

**Argued on:** 23.02.2026

**Decided On:** 18.09.2026

### **JUDGMENT**

**M.C.B.S. Morais J.**

This is an appeal by way of case stated against the determination of the Tax Appeals Commission (TAC) dated 24<sup>th</sup> of April 2018, in the case of TAC/IT/004/2014.

This appeal is filed under Section 11A(1) of the Tax Appeals Commission Act No. 23 of 2011 (as amended).

The tax in dispute is against the assessments made for the taxable periods 2004/2005 and 2005/2006 and the disputed income is;

| <b>Years of Assessment</b> | <b>Tax determined</b> | <b>Penalty</b>     | <b>Total</b>       |
|----------------------------|-----------------------|--------------------|--------------------|
| 2004/2005                  | Rs. 207,792,697.00    | Rs. 103,896,348.00 | Rs. 311,689,045.00 |
| 2005/2006                  | Rs. 79,871,829.00     | Rs.39,935,915.00   | Rs. 119,807,744.00 |

## **FACTUAL BACKGROUND**

The Siam City Cement (Lanka) Limited, previously known as Holcim (Lanka) Limited (hereinafter will be referred to as the Appellant) is a limited liability company incorporated under the Companies Act No.17 of 1982 and domiciled in Sri Lanka. The principal business activities of the Appellant is manufacturing, importing, selling, distributing, market promoting and dealing with Cement and related products, articles made of cement, cement concrete or other Cement mixtures.

The company has entered into an agreement with the Board of Investment (BOI) in 1998 and the profit attributable by manufacturing of cement is exempt from income tax for a period of 12 years.

The Appellant has submitted the returns for the taxable periods 2004/2005 and 2005/2006 claiming certain deductions, which were rejected by the Senior Deputy Commissioner of the Department of Inland Revenue by the intimation letter dated 29<sup>th</sup> of July 2010. Accordingly, the Assessor has issued the Notice of Assessment dated 30<sup>th</sup> of March 2012 for the reasons set out in the intimation letter.

The Appellant being aggrieved by the decision of the Assessor, made an appeal to the Commissioner General of Inland Revenue (hereinafter will be referred to as the Respondent). The Respondent in his determination dated 28<sup>th</sup> of April 2014 determined the appeal by upholding the assessment issued by the Assessor. The Appellant being dissatisfied with the said determination of the Respondent, made an appeal to the Tax Appeals Commission (TAC) on the basis that the assessment issued by the Assessor is time barred and invalid. The TAC after considering the submissions made by both parties made the determination dated 24<sup>th</sup> of April 2018 in favor of the Respondent.

Being dissatisfied with the said determination, the Appellant has requested the TAC to cause a Case Stated to the Court of Appeal on the following Questions of Law.

- I. *“ Are the assessments bad in law in as much as they are time barred?*
- II. *Is the assessment of income tax and penalty as determined by the Tax Appeals Commission excessive and without lawful justification?*
- III. *Did the Tax Appeals Commission err in law when they concluded that the Appellant was not entitled to a deduction under Section 29 of the Inland Revenue Act, No. 38 of 2000 (as amended), in relation to Royalty and Interest?*
- IV. *In the context of the case is the Appellant entitled to claim brought forward losses in the years of assessment under appeal in circumstances where the Tax appeals Commission has already held in TAC/OLD/IT/041 that the Appellant was entitled to do so in respect of the preceding years of assessment?*
- V. *In view of the facts and circumstances of the case did the Tax Appeals Commission err in law in arriving at the conclusion that they did? ”*

However, according to the proceedings dated 13<sup>th</sup> of November 2019, the parties have agreed to include the following additional questions of law.

- “ VI. Has the Tax Appeals Commission in its determination identified a situation distinct to the situation envisaged in the proviso to section 134 (5) of the Inland Revenue Act, No 38 of 2000, and if so whether it is permissible in law?*
- VII. What is the difference between an Assessor, after considering the return of the Appellant and making an assessment having identified the situation covered by the request made by the Appellant in terms of section 169 (3) of Act, No 38 of 2000, compared to a situation where the Assessor fails to do so but the Appellant later makes an application under section 169 (3) of Act, No 38 of 2000? ”*

## **ANALYSIS**

The Question of law No. I is in relation to the time limitation in issuing an assessment under the Inland Revenue Act No. 38 of 2000 as amended (IRA 2000) by the Assessor. Since this matter goes to the root of the case, I shall address this issue at the outset. If it is answered in the Affirmative, little purpose is served since the self assessment would be upheld and the assessment issued by the Assessor will be quashed. Therefore, the rest of the questions of law formulated by the Appellant shall not arise. Therefore, I intend to analyze the Question of law No. I initially.

### **Question of Law No. I**

The Appellant has made the assessments for the taxable periods 2004/2005 and 2005/2006 which were rejected by the Assessor on the basis that the deductions claimed for the royalties and interest under section 29(2) of the IRA 2000 is not applicable to the Appellant while the BOI agreement is in existence. Accordingly, the Appellant has sought to amend the return by the letter dated 24<sup>th</sup> of March 2008 and the amended computation of the said assessments has been submitted on 28<sup>th</sup> of March 2008. On this basis, the Assessor has issued the letter of intimation dated 29<sup>th</sup> of July 2010, illustrating the reasons for the rejection of the assessments made by the Appellant on 24<sup>th</sup> of March 2008. Subsequently, the Notice of assessment dated 30<sup>th</sup> of March 2012 was issued by the Assessor.

For the ease of reference, I shall provide the time lines for the year of assessments 2004/2005 and 2005/2006 in the following manner.

|                                       | <b>2004/2005</b>                  | <b>2005/2006</b>                  |
|---------------------------------------|-----------------------------------|-----------------------------------|
| Initial return submitted              | 25 <sup>th</sup> of November 2005 | 30 <sup>th</sup> of November 2006 |
| Amended Computation of the assessment | 24 <sup>th</sup> of March 2008    | 24 <sup>th</sup> of March 2008    |
| Date of the letter of Intimation      | 29 <sup>th</sup> of July 2010     | 29 <sup>th</sup> of July 2010     |
| Notice of Assessment                  | 30 <sup>th</sup> of March 2012    | 30 <sup>th</sup> of March 2012    |

It is the contention of the Appellant that the Notice of assessment submitted by the Assessor is time barred under section 134 of the IRA 2000, since the assessments have been made after more than the three years of time period prescribed by law.

However, it is the Respondent's position that the Appellant made the initial assessments for the taxable years 2004/2005 and 2005/2006 within the required time limit. Subsequently, by letter dated 24<sup>th</sup> of March 2008, the Appellant requested a refund and submitted amended returns on the basis that certain deductions had not been made. Accordingly, it is the Respondent's position that, by submitting the amended returns for the taxable years 2004/2005 and 2005/2006 on 28<sup>th</sup> of March 2008, the Appellant has submitted the returns out of time. Therefore, the Respondent contends that no return was furnished by the Appellant within the prescribed time under section 134(5) of the IRA 2000, and hence, the time bar or prohibition on making the assessment cannot be applied.

The Respondent further contends that the refund claim under section 169(3) of IRA 2000 can only be applied if the errors in the returns furnished are purely clerical or arithmetic and not due to the error in the interpretation of the application of the Act itself. Therefore, the Respondent argues that the Appellant is not entitled for the refund claim.

When the appeal was before the TAC, the TAC having considered the submissions of both the parties, have held in the following manner;

*"The Representative for the Respondent submitted that, according to Section 169 (3) of the Inland Revenue Act, the intention of the legislature is very clear that a person who claims a refund should satisfy the Commissioner General that, the claim is made in accordance with the law and the error in question was a human error. The Representative referred to the Second paragraph of the letter dated 24.03.2008 sent by the Appellant which reads as follows;*

*"The royalty paid for each of the years is included in the "Cost of Sales" and "Administration Expenses" (Vide notes 3.2 & 7.5(f) for 2004/05, and note 7.5(e) for 2005/06) which [being a prohibited deduction under section 24(1)(m)] should have*

*been added back in computing the statutory income from trade, but claimed under Section 29 (2) (aaa) as a deduction from the total statutory income in arriving at the assessable income."*

*It was submitted that, when perusing the above paragraph of the letter dated 24.03.2008, anyone can understand whether the error was a human error or error in the application or construction of any provision of the Act. Only a person who has understood the Section 23, Section 25 and Section 29 of the said Act, can make adjustments as was done by the Appellant in this case. Further, it was submitted that, it is evident from the time gap between the date of the submission of returns and refund claim, the error that occurred was not a human error but an error that happened due to the application or the construction of the provisions of the Act. Therefore, in this case, the refund request required a fresh assessment by making some adjustments in the calculation of the total statutory income. Hence, the Representative for the Respondent submitted that the date of the submission of the returns should be the date when the amendment was made and therefore the Appellant was not entitled to the time bar protection under Section 134 (5) of the Inland Revenue Act.*

*Section 169 (3) of the Inland Revenue Act reads as follows:*

*(3) Where it is proved to the satisfaction of the commissioner - General by claim made in writing within three years of the end of a year of assessment that any person has paid income tax, in excess of the amount which he was liable to pay for that year of assessment and that excess is due to any error in the assessment or the return of income, of that person (other than an error in the application or construction of any provision of this Act, in the making or revision of the assessment), such person shall be entitled to a refund of the amount paid in excess.*

*In view of Section 169 (3) referred to above, it appears that, as submitted by the Representative for the Respondent, the said provision permits only a correction of a human error, other than an error in the application or construction of any provision of the Act, in the making or revision of the assessment. Therefore, no amendment or*

*revision of the assessment is permitted. In this case when one considers the contents of the belated letter sent by the Appellant dated 24.03.2008, the Appellant was seeking an amendment or a revision of the assessment. The said letter further states as follows:*

| <i>Year of Assessment</i> | <i>Revised tax liability on taxable income</i> |
|---------------------------|------------------------------------------------|
| <i>2004/2005</i>          | <i>55,849,641</i>                              |
| <i>2005/2006</i>          | <i>Nil</i>                                     |

*Therefore, it is very clear that the Appellant was seeking an amendment or revision to the assessment. Under these circumstance, the Appellant cannot claim the time bar benefit under section 134 (5) of the Inland Revenue Act.”*

Having considered the contents of the letter dated 24<sup>th</sup> March 2008, the TAC has arrived at the conclusion that the request for an amendment/revision was not permissible, on the basis that the IRA 2000 does not provide for an amendment to be made to a return submitted by the taxpayer. Accordingly, the TAC was of the view that the time bar under section 134(5) of the IRA 2000 was not applicable to the Appellant.

Now I shall move onto analyze the significant provisions of the IRA 2000, which is applicable to this matter.

The section 134(5) of the IRA 2000, sets out the time duration in which an assessor is required by law to issue an assessment to the taxpayer when a return has been submitted.

*“134.*

*5) Subject to the provisions of section 67. no assessment shall be made, of the income tax payable under this Act -*

*(a) by any person who has made a return of his income on or before the thirtieth day of November of the year of assessment immediately succeeding that year of assessment, after the expiry of the three years from the end of that year of assessment; and*

*(b) by any person other than the person referred to in the preceeding paragraph after the expiry of a period of six years from the end of that year of assessment;"*;

*Provided, that nothing in this subsection shall apply to the assessment of income tax payable by any person in respect of any year of assessment, consequent to the receipt by such person, of any arrears relating to the profits from employment of that person for that year of assessment :"*

According to section 134(5) of the IRA 2000, the Assessor is required by law to issue an assessment on or before the expiry of the three years from the 30<sup>th</sup> day of November of the immediately succeeding year of an assessment. Furthermore, the proviso to section 134(5) emphasizes that the time bar cannot be applied only in a situation of fraud and willful default.

It needs to be noted that in the present instance, neither fraud nor willful default have been claimed or established by the Respondent.

When considering the time frame of the events unfolded, it can be seen that the tax returns for the year 2004/2005 has been submitted on 25<sup>th</sup> of November 2005 and the return for the year 2005/2006 on 30<sup>th</sup> of November 2006 which are within the required time line. Accordingly, the letter of intimation has been issued dated 27<sup>th</sup> of July 2010, rejecting the amended computation of the assessments made on 24<sup>th</sup> of March 2008. Subsequently, the notice of assessment dated 30<sup>th</sup> of March 2012 has been issued by the Assessor.

According to the time limitation mentioned under section 134(5) of IRA 2000, the Assessor is required by law to issue the assessment within 3 years from the 30<sup>th</sup> day of November of the immediately succeeding year of assessment. Therefore, the time to issue the assessments for the returns are in the following manner;

| <b>Taxable year</b> | <b>Assessment submitted on</b>    | <b>Time barred</b>                |
|---------------------|-----------------------------------|-----------------------------------|
| 2004/2005           | 25 <sup>th</sup> of November 2005 | 29 <sup>th</sup> of November 2008 |
| 2005/2006           | 30 <sup>th</sup> of November 2006 | 29 <sup>th</sup> of November 2009 |

Therefore, the Assessor is required to issue the assessment for the taxable year 2004/2005 on or before 30<sup>th</sup> of November 2008 and the assessment for the taxable year 2005/2006 should have been submitted on or before 30<sup>th</sup> of November 2009.

However, in the present matter, the assessments for the taxable years 2004/2005 and 2005/2006 have been issued by the Assessor on 30<sup>th</sup> of March 2012, which is well after the three years of time period specified by law. Further, the Respondent has failed to provide any significant reason for such an undue delay in computing the said taxable income of the taxpayer.

Furthermore, this court is in line with the decision arrived by the TAC to the extent that the IRA 2000 does not provide for specific provision for a tax return which was already submitted to be amended. However, the TAC has gone wrong in deciding ultimately that the Appellant is not entitled to invoke the time bar under section 134(5) of the IRA 2000.

It is my observation that, if the TAC had not considered the amended return dated 28<sup>th</sup> March 2008, as there is no such provision permitting the submission of an amended return, and should have disregarded the same, and the TAC should have proceeded to consider the time bar on the originally submitted self-assessment. Consequently, this court is of the view that the initial tax return submitted by the Appellant shall prevail. Therefore, the time bar for the assessment issued for the taxable year 2004/2005 shall run from 30<sup>th</sup> of November 2005

and will be barred on 29<sup>th</sup> of November 2008, and the time bar for the taxable year 2005/2006 shall run from 30<sup>th</sup> of November 2006 and will be barred on 29<sup>th</sup> of November 2009.

Furthermore, it needs to be noted that the Assessor has failed to issue an intimation letter in relation to the initial assessment submitted by the Appellant. The intimation letter dated 29<sup>th</sup> July 2010 relates only to the amended return dated 24<sup>th</sup> March 2008 and does not relate to the original self-assessment. Subsequently, the Notice of Assessment dated 30<sup>th</sup> March 2012 was issued, which was well after the time period prescribed by law. Therefore, as at that date, or even up-to this date there was/is no intimation letter issued by the Assessor rejecting the original self-assessment submitted by the Appellant.

Therefore, I am of the view that the TAC has erred in holding that the Appellant is not entitled to invoke the time bar provision under section 134(5) of the IRA 2000. Hence, this court holds that the Notice of assessment dated 30<sup>th</sup> of March 2012 is timed barred under section 134(5) of the IRA 2000 as there has been a deliberate delay in issuing the assessment by the Respondent.

Hence, I answer the question of law No.I in the Affirmative.

In light of the foregoing conclusion reached in the Question of Law No. I, I am of the view that the remaining Questions of law raised by the Appellant will not arise and need not be considered as the assessment dated of 30<sup>th</sup> of March 2012 is set aside and the self assessment would prevail.

## **CONCLUSION**

When considering the facts and the circumstances of the case, in line with the materials presented before this court, I am of the considered view that the questions of law formulated by the Appellant should be answered as set out below.

Question of law I – Affirmative

Question of law II – will not arise

Question of law III – will not arise

Question of law IV – will not arise

Question of law V – will not arise

Question of law VI – will not arise

Question of law VII – will not arise

This appeal is allowed.

Accordingly, the determination of the TAC dated 24<sup>th</sup> of April 2018, and the determination of the Respondent dated 28<sup>th</sup> of July 2010 are hereby set aside and the assessment dated 30<sup>th</sup> of March 2012 issued by the Assistant Commissioner of the Department of Inland Revenue is null and void.

The Registrar is directed to issue a copy of this judgment to the Secretary of the Tax Appeals Commission for necessary actions.

**Judge of the Court of Appeal**

**Annalingam Premashanker J.**

**I agree**

**Judge of the Court of Appeal**